

Evaluating Hayne's (2022) Using the CRAAP Test: A Report for the CEO

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It is necessary to conduct in-depth research on unethical business practices and related cases because they provide important lessons for businesses and society. In this scenario, I was asked by the CEO of Integrity Business Solutions, Mr. James Anderson, to examine Hayne (2022) for presentation at the conference on “Ethics in Business Practices,” addressing the question: To what extent does the Elizabeth Holmes fraud case provide lessons about ethical business practices? This report uses three CRAAP elements—relevance, authority and accuracy—to assess Hayne’s (2022) effectiveness in supporting the CEO’s claims. It argues that it is relevant because it provides details of the Elizabeth Holmes fraud case and its serious consequences, demonstrates authority and accuracy because it comes from ABC News, a professional news organization, and uses reliable sources, such as legal documents and John Carreyrou’s reporting. Overall, although Hayne (2022) does not discuss the causes and solutions of the problem in detail, it is still more suitable for CEO to support his presentation because of its effectively applies these elements.

Response

Elizabeth Holmes's case has attracted widespread attention since it was reported. Although someone keeps an opinion that it was a usual business failure, I argue it was deliberate fraud.

While unsuccessful research outcomes are often considered a common explanation for business failure, they cannot fully account for her subsequent actions.

The article indicates the investors were repeatedly misled by claims which were not supported by reliable evidence. Holmes, who control the company, knew that research had failed, but she still described the product as effective. In addition, partnerships and financial prospects were exaggerated, creating a false impression of success. These actions strongly demonstrate that it was intentional deception rather than mere failure. Furthermore, the jury's verdict, which found her guilty on multiple counts, provides additional evidence that her actions constituted fraud.

Therefore, despite the inevitability of business risk in innovation, it cannot justify misleading behavior. Holmes's actions clearly prove that her downfall should be understood as fraud instead of failure.

CRAAP analysis

Table 1

[Evaluative CRAAP analysis table]

Copy and paste your discipline-specific research question from the Scenario.	To what extent does the Elizabeth Holmes fraud case provide lessons about ethical business practices?
Write the name of the discipline-specific text that you studied in Modules 2, 3 and 4.	How Theranos founder Elizabeth Holmes went from the cover of Forbes to being found guilty on charges of fraud
Currency	It is not recent because the source was published in 2022. However, it is not outdated, as it reports Holmes

the timeliness of the information. How recent is the source? Is there any information that may be out of date? Is there relevant new information or research that has been published since this source?	being “found guilty of four charges” and outlines misleading practices that support analysis of unethical business behaviour (Hayne, 2022). Yes, there is relevant new information: 2025 appeals ruling upheld her conviction, further reinforcing its significance for understanding ethical business practices (Reuters, 2025).
Relevance the importance of the information. How does the text relate to the research question?	The text is highly relevant as it provides direct evidence for the failures of ethical business practices central to the research question. It describes Holmes using false demonstrations, overstating partnerships and ignoring internal warnings (Hayne, 2022). It also highlights harm to patients caused by inaccurate test results, confirming its negative consequences and the influence of unethical business practices of Theranos (Hayne, 2022).
Authority the source / author(s) of the information. Why is the author or speaker an expert?	The source’s authority is well-established as it is written by journalist Jordan Hayne and published by ABC News, a reputable national media organisation. Its credibility is strengthened by referencing investigative journalist John Carreyrou, who exposed Theranos’s fraud, and by including direct quotations and evidence from the case. The article also draws on court reporting and Associated Press material, showing it is based on professional

	standards and verified information (Hayne, 2022).
Accuracy the reliability, truthfulness, and correctness of the information. What evidence shows the text is correct?	The text's reliability is high. It is correct because it matches the public record of the Theranos case, and its key claims can be verified, such as Holmes being "found guilty of four charges" and the misleading demonstrations (Hayne, 2022). As a news report, its information is supported by Carreyrou and Associated Press; although words like "defiant" and "stung" show some bias, it still presents court facts and evidence in a balanced way (Hayne, 2022).
Purpose the reason the information exists. What is the reason the author wrote the text? What does the author want the reader to think, feel, or do after reading it?	The text has an informational purpose. It aims to explain how Holmes went from a successful entrepreneur to being found guilty of fraud, helping readers understand the case (Hayne, 2022). By describing investor deception and patient harm, it encourages readers to view the Theranos case as a failure of ethical business practices and to think more critically about similar business claims (Hayne, 2022).
Overall evaluation Is your discipline-specific reading, overall, an appropriate source? • and explain why it is (or is not) suitable for	Overall, this is an appropriate source for answering the research question. It provides clear, factual evidence of unethical business practices in the Theranos case, including investor deception, misleading claims, and patient harm (Hayne, 2022). Although it is just a news report, it is authoritative and precise, using verified details such as the verdict and testimony to present

academic work and professional work.	unethical business practices objectively (Hayne, 2022).
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Justification for using Hayne's (2022)

Hayne's (2022) article is an effective source because of its high relevance, as it supports for detailed analysis of the Elizabeth Holmes fraud case and the lessons of unethical business practices for businesses and society. As Hayne (2022) indicates, Theranos "promised to revolutionize medical diagnostics"; however, the technology "never worked as intended" while continuing to mislead consumers, clearly illustrating her specific unethical business practices and acts of business fraud. In addition, the article shows that unethical business practices not only undermine public trust and harm consumer interests but also expose firms to serious legal consequences (Hayne, 2022), which provides clear evidence of their profound negative impacts and lessons for both corporates and society. For example, Hayne (2022) reports that Holmes's deception of consumers in technology and finance ultimately led to the collapse of Theranos and her criminal conviction. Despite its relevance, the article still contains notable limitations. Hayne focuses only on the specific action and severe consequences of unethical business practices, without further exploring the underlying reasons for their appearances and corresponding solutions, lacking deeper analytical insight into the lessons learned. Nevertheless, its clear discussion of fraud makes it effective for explaining the lessons from the Theranos's unethical business practices.

Figure 1 (Hayne, 2022) depicts Elizabeth Holmes outside the courthouse during jury selection for her fraud case. In this image, her gloomy expression and courthouse setting create a sharp contrast with her former identity as a successful entrepreneur, highlighting her unethical business practices resulted in legal consequences. Furthermore, the large presence of reporters around her reflects the widespread social impact caused by her unethical business practices. Therefore, this image effectively supports my argument that unethical business practices offer lessons for both corporates and society, as it visually reflects the negative impacts of Holmes's business fraud on herself and public.

Figure 1

[Elizabeth Holmes outside court for jury selection in her fraud trial]



(Source: Hayne, 2022)

Conclusion

In conclusion, Hayne's (2022) article is an effective source for examining the extent to which the Elizabeth Holmes fraud case provides lessons about ethical business practices. The CRAAP analysis shows that the source is relevant, authoritative and accurate, providing clear evidence of investor deception, misleading claims and patient harm. These examples demonstrate how unethical business practices can damage public trust, harm stakeholders and lead to serious legal consequences. Although the article does not explore the underlying causes of unethical behaviour or provide detailed solutions, its clear focus on the Theranos case and use of reliable evidence make it a more suitable source for supporting the CEO's presentation than sources with less relevant information. Overall, the case highlights the importance of honesty, accountability and ethical decision-making in business.

References

Hayne, J. (2022, January 4). How Theranos founder Elizabeth Holmes went from the cover of Forbes to being found guilty on charges of fraud. *ABC News*.
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